

21. (2.5 points)

An insurance company has developed an Enterprise Risk Management (ERM) program with the following characteristics:

- i. The process will be monitored on a regular basis.
- ii. The ERM model only incorporates insurance hazard risk and financial risk.
- iii. The company has excluded motorcycle liability from the ERM model because it is a short-tailed line of business, represents a small portion of the book, and is in run-off.
- iv. The model only considers adverse scenarios, because if the outcomes turn out better than expected, there is no risk to the insurance company.
- v. The insurance company writes both commercial lines and personal lines. Since the underwriting and pricing of these risks are handled by separate departments, there are two completely independent ERM models that exist for commercial lines and personal lines.

Describe whether each characteristic above is a strength or a weakness of the ERM program.

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QUESTION 21	
TOTAL POINT VALUE: 2.5	LEARNING OBJECTIVE: C1: Demonstrate how insurance and financial risk can be analyzed quantitatively.
SAMPLE ANSWERS (BY PART, AS APPLICABLE)	
Characteristic i: 0.5 point	
<i>Sample Answer 1</i> Strength – The process should be dynamic, and ready to respond to changing conditions <i>Sample Answer 2</i> Strength – risk landscape is necessary to be able to ensure processes are working as intended and to identify new risks	
Characteristic ii: 0.5 point	
<i>Sample Answer 1</i> Weakness – Operational and strategic risk are important to consider, even if they are difficult to quantify <i>Sample Answer 2</i> Weakness – Other risks like operational and strategic risk can cause insolvency of an insurance entity	
Characteristic iii: 0.5 point	
<i>Sample Answer 1</i> Strength – Only critical risks should be managed. This ensures efficient use of resources <i>Sample Answer 2</i> Strength – Program should focus on key risks that are material to the company. Short tailed, low exposure, and in runoff all point towards this risk not being material to the company as a whole. <i>Sample Answer 3</i> It could be either. We should examine all sources of risk but due to the size it is unlikely to have a material impact. If it won't have a material impact, it might be better to focus resources on other important risks (possible strength)	
Characteristic iv: 0.5 point	
<i>Sample Answer 1</i> Weakness – The model should account for the capability to exploit risk when the outcome is favorable <i>Sample Answer 2</i> Weakness – Favorable outcomes should also be considered. Part of ERM is looking for opportunities to capitalize on good risk.	
Characteristic v: 0.5 point	
<i>Sample Answer 1</i> Weakness – There could be interdependency between the two lines in the tail. Separate models would underestimate the tail correlation for extreme events.	

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Sample Answer 2

Weakness: There are likely similarities in how the departments are run as they are influenced by the same company culture. This correlation should be considered. Also risks having to do with macroeconomic variables and event risk are probably correlated across personal/commercial as well. This correlation needs to be considered in the model.

Sample Answer 3

Weakness - The model needs to quantify dependencies between these lines

EXAMINER'S REPORT

For each characteristic, the candidate needed to state whether the model characteristic was a strength or a weakness, and then explain why the characteristic was a strength or weakness.

Candidates generally correctly recognized whether a characteristic represented a strength or a weakness, though they struggled with the third characteristic. They generally had more difficulty supporting their positions. More detail is provided in the individual characteristic explanations.

Characteristic i

A large majority of candidates recognized that continuous monitoring of ERM is a strength. Ideally, candidates would have stated that continuous monitoring of ERM is important in order to recognize material changes in a company's risk profile.

Characteristic ii

The vast majority of candidates recognized that an ERM model that is restricted to insurance and financial risk is not complete, and such a restriction would be a weakness of the model. Ideally, the candidate would recognize that operational and strategic risk, though challenging to quantify, should be monitored at least qualitatively. Any explanation that cited a risk other than insurance and financial was accepted. Certain risks cited by the candidates, such as reserve risk, underwriting risk, and asset risk, are part of insurance or financial risks and were not accepted as examples of other risks that need to be included.

Characteristic iii

The expected response was that excluding this small risk is a strength, as ERM is meant to monitor risks that are material to a firm. Many candidates argued that excluding this risk was a weakness, as ERM is meant to be comprehensive and incorporate every risk a firm faces. This did not receive credit, as it contradicts the Brehm text.

Characteristic iv

Most candidates recognized that it is a weakness to exclude upside risk from an ERM model. Many candidates did not note that the reason why including upside risk is desirable is that it enables management to maximize firm value by taking advantage of opportunities based on upside risks detected by the model.

Characteristic v

In general, candidates did recognize that separate commercial and personal lines models are a weakness. To receive credit for the explanation, the candidate had to note that the reason why this is a weakness is that there may be correlations (dependencies) between the two lines. Simply stating that the model needs to be at an enterprise level, without citing the non-independence of the two lines of business, was not sufficient to receive credit.